TANG & PARTNERS LLP
CHARTERED PROFESSIONAL ACCOUNTANTS
LICENSED PUBLIC ACCOUNTANT

2039321 ONTARIO INC O/A SPIRIT OF MATH (MARKHAM EAST)

Financial Statements

Year Ended July 31, 2024

(Unaudited)

TANG & PARTNERS LLP
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2039321 ONTARIO INC O/A SPIRIT OF MATH (MARKHAM EAST)
Index to the Financial Statements
Year Ended July 31, 2024
(Unaudited)

INDEX

	Page
Review Engagement Report	3 - 4
Balance Sheet	5
Statement of Retained Earnings	6
Statement of Income	7
Statement of Cash Flows	8
Notes to the Financial Statements	9 - 12

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INDEPENDENT PRACTITIONER'S REVIEW ENGAGEMENT REPORT

To the Directors of 2039321 ONTARIO INC O/A SPIRIT OF MATH (MARKHAM EAST)

I have reviewed the accompanying financial statements of 2039321 ONTARIO INC O/A SPIRIT OF MATH (MARKHAM EAST) that comprise the balance sheet as at July 31, 2024, and the statements of Income, retained earnings and cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with Canadian accounting standards for private enterprises, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Practitioner's Responsibility

My responsibility is to express a conclusion on the accompanying financial statements based on my review. I conducted my review in accordance with Canadian generally accepted standards for review engagements, which require me to comply with relevant ethical requirements.

A review of financial statements in accordance with Canadian generally accepted standards for review engagements is a limited assurance engagement. The practitioner performs procedures, primarily consisting of making inquiries of management and others within the entity, as appropriate, and applying analytical procedures, and evaluates the evidence obtained.

The procedures performed in a review are substantially less in extent than, and vary in nature from, those performed in an audit conducted in accordance with Canadian generally accepted auditing standards. Accordingly, I do not express an audit opinion on these financial statements.

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Conclusion

Based on my review, nothing has come to my attention that causes me to believe that the financial statements do not present fairly, in all material respects, the financial position of the Company as at July 31, 2023, and the results of its operations and its cash flows for the year then ended in accordance with Canadian accounting standards for private enterprises.

Tang & Partners LLP

Tang & Partners LLP

Thomas Tang, LPA, CPA, CGA
Licensed Public Accountant
Chartered Professional Accountant
(Licensed to practice Public Accounting by Chartered Professional Accountants of Ontario)

October 16, 2024
Toronto, Ontario

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2039321 ONTARIO INC O/A SPIRIT OF MATH (MARKHAM EAST)

Balance Sheet as at July 31, 2024
(Unaudited)

ASSETS		**2024**		**2023**
Current				
Cash	$	94,178	$	24,632
Short Term Investments		200,000		200,000
Due from shareholders (note 10)		146,929		5,902
Deferred Charges (note 3)		-		31,854
Prepaid expenses and other assets (note 3)		50,912		35,589
		492,019		297,977
Long Term				
Deferred franchise fee (note 4)		2,853		3,837
Property, plant and equipment (note 5)		97,439		141,416
	$	592,311	$	443,230

LIABILITIES AND SHAREHOLDERS' EQUITY				
Current liabilities				
Accounts payable and accrued liabilities (note 6)	$	5,085	$	5,085
Deferred Revenue (note 7)		171,334		202,536
Royalty Fee Payable (note 3)		-		31,854
Credit Card Payable		7,813		1,255
Income taxes		5,881		-
		190,113		240,730
Shareholders' equity				
Share capital (note 11)		100		100
Retained earnings		402,098		202,400
		402,198		202,500
	$	592,311	$	443,230

See accompanying notes to the unaudited financial statements

Approved by:

Director: _____

Director: _____

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2039321 ONTARIO INC O/A SPIRIT OF MATH (MARKHAM EAST)

Statement of Retained Earnings for the year ended July 31, 2024

(Unaudited)

		2024		2023
Retained earnings, beginning of the year	$	202,400	$	140,844
Net income		199,698		11,556
Dividends		-		50,000
Retained earnings, end of the year	$	402,098	$	202,400

See accompanying notes to the unaudited financial statements

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2039321 ONTARIO INC O/A SPIRIT OF MATH (MARKHAM EAST)

Statement of Income/(Loss) for the year ended July 31, 2024

(Unaudited)

	2024	2023
Revenue	$ 2,792,608	$ 2,628,162
Net Revenue	2,792,608	2,628,162
Royalty fee	385,004	458,870
Direct wages	1,417,212	1,504,831
Campus rental	148,086	153,617
Materials & supplies	104,429	112,679
Teachers training	4,167	7,759
Subcontracting	-	5,400
	2,058,898	2,243,156
Gross Profit/(Loss)	733,710	385,006
Operating Expenses:		
Advertising & promotion	96,724	79,593
Amortization of intangible assets	984	1,035
Amortization of tangible assets	86,340	106,037
Bank charges & credit card fees	57,841	53,161
Computer & IT	181,629	125,346
Conferences & seminars	5,617	4,125
Donations	-	1,177
Events expense	15,796	6,514
Insurance	2,892	1,946
Memberships, licenses & franchise fees	7,982	8,056
Meals and entertainment	70	-
Office expenses	25,063	19,357
Professional fees	18,280	18,174
Rental	7,000	7,000
Repairs & maintenance	14,776	10,548
Telephone	2,282	662
Travel expense	436	-
Vehicle operating	16,039	23,358
	539,751	466,089
Net income (loss) before other items and taxes	193,959	(81,083)
Other income:		
Interest income	7,788	-
Investment Income	3,832	4,486
Other income - CEBA	-	20,000
	11,620	24,486
Income (Loss) before income taxes	205,579	(56,597)
Current income taxes (recovery) (note 9)	5,881	(68,153)
Net income	$ 199,698	$ 11,556

See accompanying notes to the unaudited financial statements

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2039321 ONTARIO INC O/A SPIRIT OF MATH (MARKHAM EAST)

Statement of Cash Flows for the year ended July 31, 2024
(Unaudited)

		2024		2023
Cash flows from operating activities				
Net income	$	199,698	$	11,556
Items not affecting cash:				
Amortization of tangible assets		86,340		106,037
Amortization of franchise fee		984		1,035
Changes in non-cash working capital:				
Deferred Revenue		(31,202)		(141,586)
Prepaid expenses and other assets		16,531		(24,230)
Accounts payable and accrued liabilities		(25,296)		1,219
Income taxes		5,881		-
Net cash provided by (used in) operating activities		252,936		(45,970)
Cash flows from investing activities				
Computer hardware		(4,322)		(6,735)
Furniture and equipment		(2,594)		(1,416)
Leasehold improvement		(35,448)		(30,506)
Purchase of short-term investments		-		(200,000)
Net cash used in investing activities		(42,364)		(238,657)
Cash flows from financing activities				
Long term loan		-		(60,000)
Advances from shareholders		(141,026)		(26,080)
Net cash used in financing activities		(141,026)		(86,080)
Net increase (decrease) in cash and cash equivalents		69,546		(370,707)
Cash and cash equivalents at the beginning of the year		24,632		395,339
Cash and cash equivalents at the end of the year	$	94,178	$	24,632

Cash and cash equivalents consists of:

Cash Balance	$	94,178	$	24,632

2039321 ONTARIO INC O/A SPIRIT OF MATH (MARKHAM EAST)

Notes to Financial Statements
Year Ended July 31, 2024
(Unaudited)

1. NATURE OF BUSINESS AND ECONOMIC DEPENDENCY

2039321 Ontario Inc., operating as a Franchise of Spirit of Math Schools - Markham East is a privately owned company incorporated under the jurisdiction of Ontario. The company's operation consists of math tutoring services. The franchise agreement with Spirit of Math accounts for 100% sales in the current year (2023 - 2024)

2. ACCOUNTING POLICIES

These financial statements were prepared in accordance with Canadian accounting standards for private enterprise and include the following significant accounting policies:

- Financial assets and liabilities are measured initially at fair value, except for certain non-arms length transactions. The subsequent measurement is at amortized costs, except for investments in equity instruments that are quoted in an active market, which are measured at fair value. Changes in fair value are recognized in net income.

- Financial assets measured at amortized cost consist of cash and term deposits.

- Financial liabilities measured at amortized cost consist of accounts payable and amounts due to shareholders.

- The preparation of financial statements in conformity with Canadian generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities.

- Disclosure of contingent assets and liabilities on the date of financial statements, as well as the reported amounts of revenues/expenses are needed during the reporting period. The material uncertainties include estimates of useful lives of property, plan, and equipment. The resolution of these uncertainties will be determined in future events.

- Property, plant, and equipment are recorded at cost. Amortization is recorded at the following rates, which have been established by estimates of useful lives. Additions during the current year are amortized at one-half their normal rates, and no amortization is taken in the year of disposition.

2039321 ONTARIO INC O/A SPIRIT OF MATH (MARKHAM EAST)
Notes to Financial Statements
Year Ended July 31, 2024
(Unaudited)

	Rate	Method
Computer Hardware	20%	declining balance
Furniture and equipment	30%	declining balance
Leasehold improvement		straight line

- Leasehold Improvements are recorded at cost. Amortization is recorded at the following rate, which has been established by the contract of the lease. Additions during the current year are amortized at one-half their normal rates, and no amortization is taken in the year of disposition

	Rate	Method
Intangible asset	5%	declining balance

- Tuition revenue is recognized on a time basis when there is persuasive evidence that an arrangement exists - classes have been offered, the price is set or determinable, and collection is reasonably assured.

- The company has adopted the taxes payable method of accounting for income taxes

3. Prepaid Expenses & Deferred Charges

	2024	2023
Prepaid Rent	$ 11,859	$ 11,859
Prepaid Franchise Fee (Balance represents 2 years)	15,820	23,730
Prepaid Royalty Fees	23,233	
	$ 50,912	$ 35,589
Deferred Charges	$ -	$ 31,854

2039321 ONTARIO INC O/A SPIRIT OF MATH (MARKHAM EAST)
Notes to Financial Statements
Year Ended July 31, 2024
(Unaudited)

4. DEFERRED FRANCHISE FEE

2039321 Ontario Inc., operating as a franchise of Spirit of Math Schools - Markham East has paid $35,000 as an initial franchise fee to the franchisor in 2010. As a franchisee, it has been required to pay annual continuing fees since 2015. These payments are small in relation to future services. However, it is probable that a continuing fee will not cover the cost of the franchisor's continuing services, while providing a reasonable profit for the company. A portion of the initial franchise fee shall be deferred and amortized over the life of the franchise.

	Cost	Accumulated Amortization	2024 Net Book Value	2023 Net Book Value
Deferred franchise fee	$ 45,735	$ 42,882	$ 2,853	$ 3,837
	$ 45,735	$ 42,882	$ 2,853	$ 3,837

5. PROPERTY, PLANT AND EQUIPMENT

	Cost	Accumulated Amortization	2024 Net Book Value	2023 Net Book Value
Computer equipment	$ 44,272	$ 41,779	$ 2,493	$ 1,218
Furniture and fixtures	74,835	59,296	15,539	16,830
Leasehold improvements	538,653	459,245	79,407	123,369
	$ 657,760	$ 560,320	$ 97,439	$ 141,417

6. Accounts Payable & Accrued Liabilities

	2024	2023
Accounts Payble & Accrued Liabilities	$ 5,085	$ 5,085

2039321 ONTARIO INC O/A SPIRIT OF MATH (MARKHAM EAST)
Notes to Financial Statements
Year Ended July 31, 2024
(Unaudited)

7. Deferred Revenue

	2024	2023
Deferred Revenue	$ 171,334	$ 202,536

Deferred Revenue is a prepayment of tution fees for the subsequent academic year.

8. Long-Term Debt

	2024	2023
Long Term Debt	$ -	$ 60,000

Long Term debt is from Government assistance (CEBA Loan), and it has been completely paid off.

9. Income Taxes

	2024	2023
Income tax recovery due to carry back lossess (2019-2020)	$ -	68,153
Current year taxes	5,881	-
	$ 5,881	$ 68,153

10. Due from Shareholder

	2024	2023
Due from Shareholder	$ 146,929	$ 5,902

Due from shareholder was paid back in the amount of $150,000 in the September 2024.

11. Share Capital

Authorized:		2024	2023
Unlimited	Class A Common voting shares		
Unlimited	Class B Common non-voting shares		
Unlimited	Class C Common non-voting shares		
Unlimited	Class A Preferred non-voting shares		
Unlimited	Class B Preferred non-voting shares		
Unlimited	Class C Preferred non-voting shares		
Issued:			
100	Class A common shares	100	100
		$ 100	$ 100